

# FairLens AI Bias Audit Report

**Audit ID:** TEST-FINAL

**Date:** May 03, 2026

**Submitted by:** Test

## Executive Summary

This audit assessed an AI-powered loan approval system for bias, discrimination, and regulatory compliance. The system received an overall risk rating of **MEDIUM** with a composite fairness score of **75/100**.

The model demonstrates acceptable fairness characteristics and is suitable for deployment with ongoing monitoring.

## Regulatory Context

This audit evaluates compliance with:

- **Equal Credit Opportunity Act (ECOA):** Prohibits discrimination in credit decisions
- **EU AI Act Article 9:** Classifies credit scoring as high-risk AI requiring strict oversight
- **Fair Credit Reporting Act (FCRA):** Regulates use of consumer credit information
- **GDPR Article 5:** Requires data minimization and privacy protection
- **Federal Reserve SR 11-7:** Model risk management guidance

## 1. Data Bias Risk Assessment

### ■ **COMPLIANT**

No direct use of protected attributes detected in model features.

### ■ **No Proxy Variables Detected**

No obvious proxy variables found in the feature set.

## 2. Discrimination Detection Results

### ■ *Disparate Impact Analysis*

**Disparate Impact Ratio:** 0.417

**Statistical Parity Difference:** 0.000

**Equal Opportunity Difference:** 0.000

**Interpretation:**

No interpretation available

## 3. Accountability & Governance

**Governance Maturity Level:** Defined (Level 2)

**Maturity Score:** 60/100

**Risk Level:** ■ MEDIUM

*RACI Matrix*

## 4. Data Privacy Compliance

## 5. Remediation Recommendations

### Audit Trail

**Audit ID:** TEST-FINAL

**Audit Date:** 2026-05-03 10:43:21 UTC

**Submitted By:** Test

**Model Version:** 1.0

**Next Review Date:** 2026-06-01

**Composite Risk Score:** 75/100

**Overall Risk Level:** MEDIUM

*Generated by FairLens AI Bias Audit System*

*Report generated on 2026-05-03 10:43:21*